



# US Economic Outlook

June 20, 2025

The better the question. The better the answer. The better the world works.

**EY** Parthenon  
Shape the future with confidence

Author: Greg Daco

## Bracing for a summer slowdown

### US outlook

- The US economy is poised for a summer slowdown. Economic activity was artificially boosted early in 2025 as businesses and consumers rushed to front-load purchases ahead of anticipated trade restrictions. While the sharp reversal in imports will provide a mechanical lift to Q2 GDP growth, this earlier pull-forward sets the stage for a pronounced demand cliff in the second half of the year. Both consumer spending and business investment are expected to decelerate significantly.
- In the months ahead, the ripple effects of higher tariffs will become more apparent – stoking inflationary pressures, weakening labor market conditions, compressing profit margins, restraining capital expenditures and curbing household demand. Together, these headwinds are likely to slow GDP growth to near stall speed, with output rising just 0.8% year over year (y/y) by Q4 2025.
- A potential extension of the expiring provisions under the Tax Cuts and Jobs Act (TCJA) could help stave off a deeper fiscal contraction, but any stimulus from the “One Big Beautiful Bill” is likely to be modest, skewed toward higher-income households and delayed until 2026. At the same time, offsetting spending cuts – particularly to social benefits – would weigh disproportionately on lower-income households. The fiscal cost of such a package could also exacerbate debt sustainability concerns, putting upward pressure on interest rates and crowding out private investment.
- We anticipate real GDP growth will decelerate from 2.8% in 2024 to 1.5% in 2025 and 1.3% in 2026. While the probability of a recession over the next 12 months currently stands at 35%, the risks to the outlook remain skewed to the downside.

### Cooling labor demand and supply

- Labor market momentum continued to soften in May as trade and immigration policy uncertainty exerted increasing pressure on employment and labor force dynamics. The economy added 139,000 jobs during the month, but a notable decline in labor force participation helped hold the unemployment rate steady at 4.2%. With policy turbulence unlikely to dissipate in the near term, we expect labor market weakening to become more pronounced in the months ahead. While a broad wave of layoffs remains unlikely, rising cost burdens from newly implemented tariffs are expected to weigh on hiring and wage decisions. Businesses already contending with higher input costs are likely to slow workforce expansion, further reinforcing a subdued job creation environment. We project monthly job gains to slow to an average of just 25,000 in the second half of 2025 – down sharply from 105,000 in the first half – and the unemployment rate to drift higher, reaching approximately 4.8% by year-end.



- A looming demand slowdown: Retail sales disappointed in May, declining by 0.9% as consumer demand continued to ease following a wave of front-loaded purchases ahead of tariff implementations. While spending has remained relatively resilient – underpinned by solid income gains – early signs of fatigue are becoming increasingly evident. The combination of a cooling labor market and the exhaustion of preemptive buying points to a looming inflection point. As the effects of tariffs filter through the economy, we expect consumer activity to slow in the second half of the year. We forecast real personal consumption expenditures to decelerate from 2.3% in 2024 to just 1.2% in 2025, before staging a modest recovery to 2.0% in 2026. Housing demand is also expected to remain constrained in a low-affordability environment.
- Tariff supply-shock to fuel inflation reacceleration: Prices remained on a solid disinflationary path ahead of the steep tariff increases. Consumer price inflation once again surprised to the downside in May, driven by moderating shelter costs, lower travel and leisure prices, declining energy prices, and subdued food and core goods inflation. Headline Consumer Price Index (CPI) inflation ticked up slightly to 2.4% y/y – following April's low, which was not seen since February 2021 – while core CPI held steady at 2.8% y/y, marking its softest reading since March 2021. Looking ahead, however, the inflation landscape is set to shift. With higher tariffs imposed on most major trading partners, we expect a renewed inflation impulse to emerge, with core personal consumption expenditures (PCE) inflation likely rising toward 3.1% by year-end.
- Fed on pause until September: The Federal Reserve kept the federal funds rate unchanged at 4.25%-4.50% for a fourth consecutive time at the June policy meeting. The unanimous policy decision, along with the policy statement, the dot plot of median rate expectations and Fed Chair Jerome Powell's press conference, reinforced the Fed's wait-and-see approach amid a cloudy economic outlook. With Fed policymakers unwilling to preempt the net effect of the administration's trade, tax, immigration and regulation policy changes on growth and inflation, we continue to anticipate the Fed will wait until September before proceeding with a 25-basis-points (bps) rate cut. We anticipate another rate cut in December and then a further 100bps of policy easing in 2026, as economic and labor market conditions deteriorate.

## How EY-Parthenon can help

Strategy consulting services

[Read more.](#)

# Contacts



**Gregory Daco**

EY-Parthenon Chief Economist  
Strategy and Transactions  
Ernst & Young LLP



**Lydia Boussour**

EY-Parthenon Senior Economist  
Strategy and Transactions  
Ernst & Young LLP



**Marko Jevtic**

EY-Parthenon Senior Economist  
Strategy and Transactions  
Ernst & Young LLP



## EY | Building a better working world

EY is building a better working world by creating new value for clients, people, society and the planet, while building trust in capital markets.

Enabled by data, AI and advanced technology, EY teams help clients shape the future with confidence and develop answers for the most pressing issues of today and tomorrow.

EY teams work across a full spectrum of services in assurance, consulting, tax, strategy and transactions. Fueled by sector insights, a globally connected, multidisciplinary network and diverse ecosystem partners, EY teams can provide services in more than 150 countries and territories.

All in to shape the future with confidence.

EY refers to the global organization, and may refer to one or more, of the member firms of Ernst & Young Global Limited, each of which is a separate legal entity. Ernst & Young Global Limited, a UK company limited by guarantee, does not provide services to clients. Information about how EY collects and uses personal data and a description of the rights individuals have under data protection legislation are available via [ey.com/privacy](https://ey.com/privacy). EY member firms do not practice law where prohibited by local laws. For more information about our organization, please visit [ey.com](https://ey.com).

Ernst & Young LLP is a client-serving member firm of Ernst & Young Global Limited operating in the US.

### About EY-Parthenon

Our unique combination of transformative strategy, transactions and corporate finance delivers real-world value – solutions that work in practice, not just on paper.

Benefiting from EY's full spectrum of services, we've reimagined strategic consulting to work in a world of increasing complexity. With deep functional and sector expertise, paired with innovative AI-powered technology and an investor mindset, we partner with CEOs, boards, private equity and governments every step of the way – enabling you to shape your future with confidence.

EY-Parthenon is a brand under which a number of EY member firms across the globe provide strategy consulting services. For more information, please visit [ey.com/parthenon](https://ey.com/parthenon).

© 2025 Ernst & Young LLP.  
All Rights Reserved.

2507-10304-CS

ED None

This material has been prepared for general informational purposes only and is not intended to be relied upon as accounting, tax, legal or other professional advice. Please refer to your advisors for specific advice.

[ey.com](https://ey.com)

The views reflected in this article are the views of the author and do not necessarily reflect the views of Ernst & Young LLP or other members of the global EY organization.

[See more on Macroeconomic insights](#)